

Transforming from Claims Centric to Patient Centric Healthcare

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Executive Summary

- ▶ **The traditional healthcare model (delivery and insurance) is being challenged and will change.**
- ▶ **The graying and diversification of America make change more complex.**
- ▶ **Healthcare is massively ineffective and inefficient at driving consumer behavior.**
- ▶ **A research based approach to healthcare marketing using traditional marketing approaches will be successful for employers (wellness), managed care (CDHC), pharmacy (generics, mail), and providers (loyalty).**

The Healthcare Marketplace is Changing Radically and will Continue to Change.



CDHC



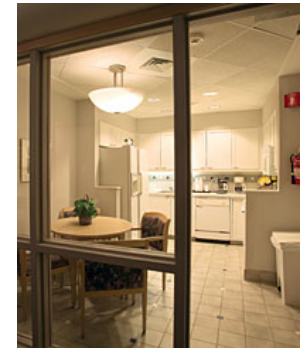
Smart Devices



VBID

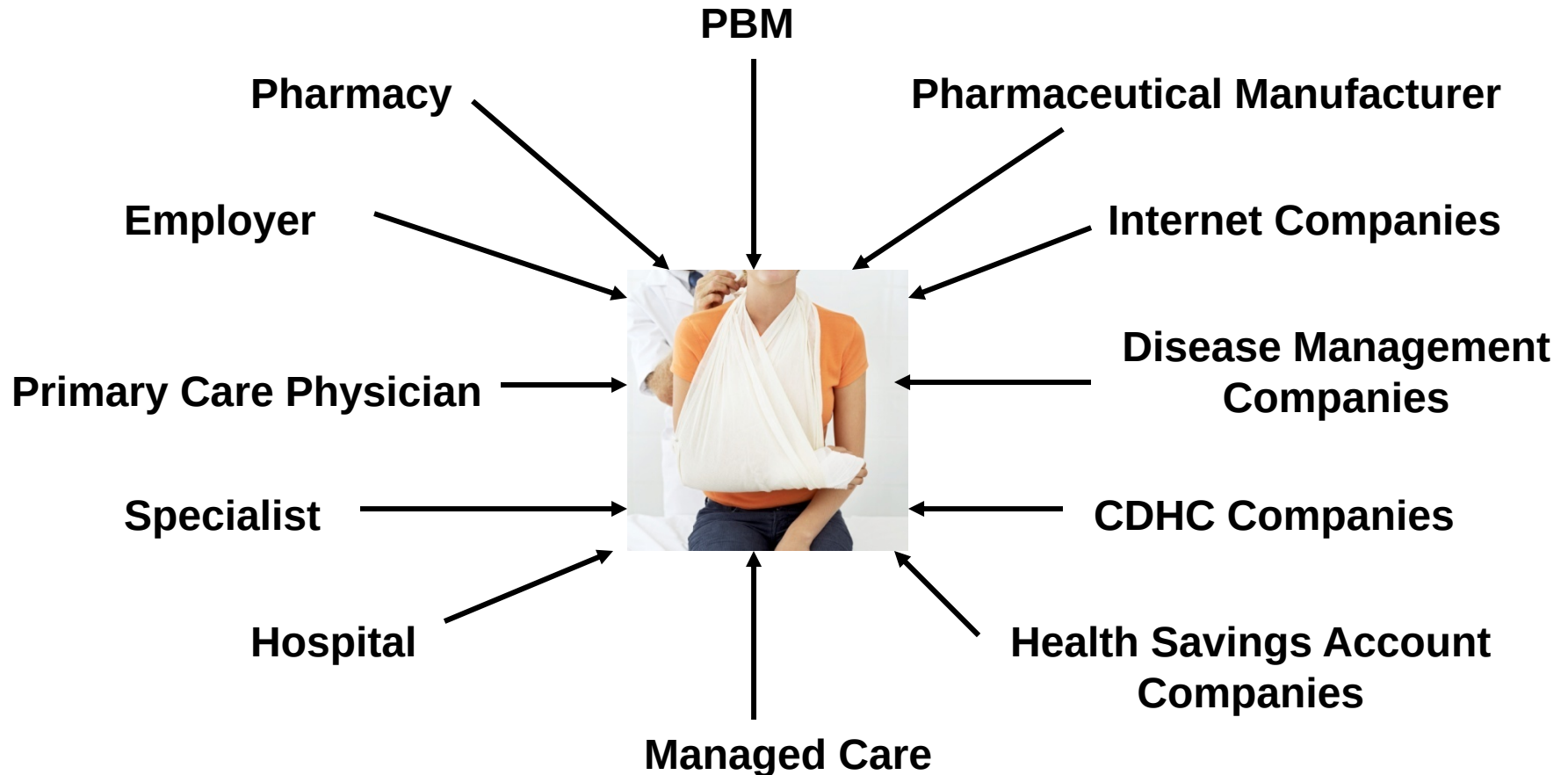
Consumer Reports
BEST BUY DRUGS™
Free Guidance for Consumers on Prescription Medicines

Telemedicine

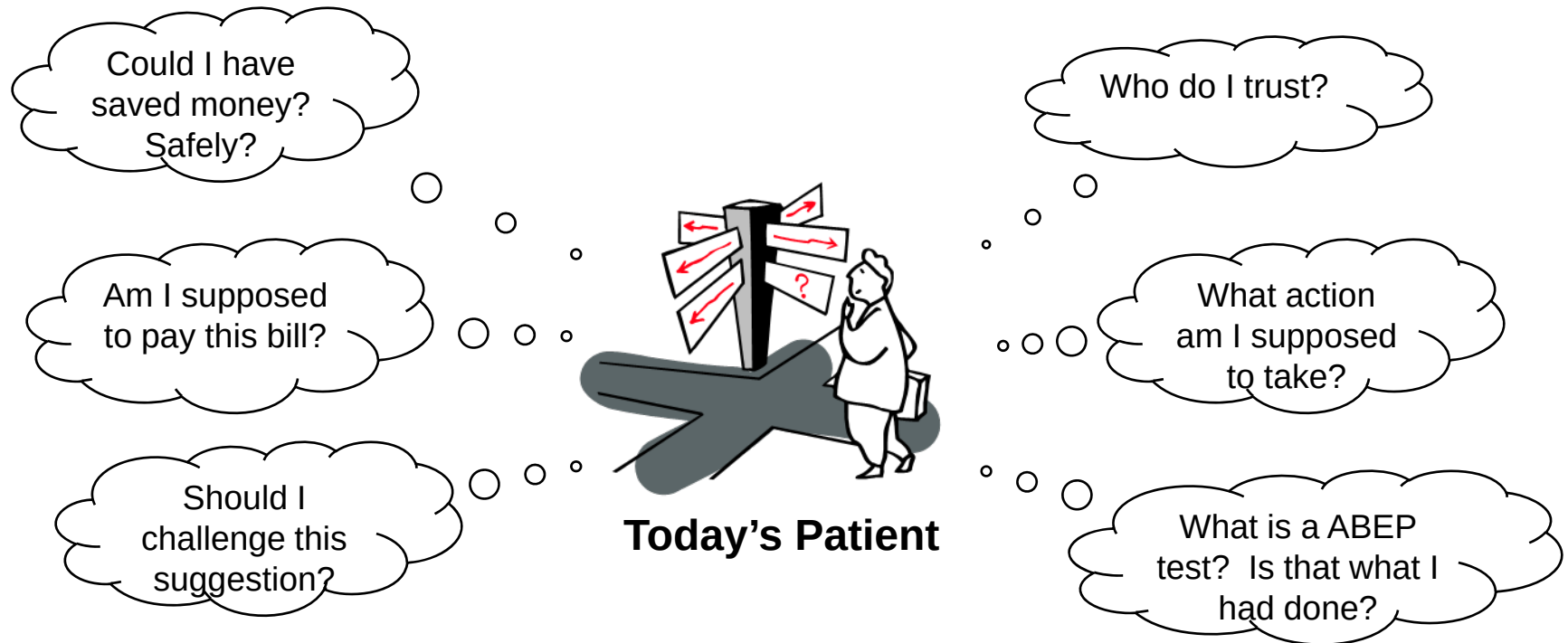


Hospital
Experience

Everybody Wants to Communicate With the Patient



BUT, Nobody Does It Well

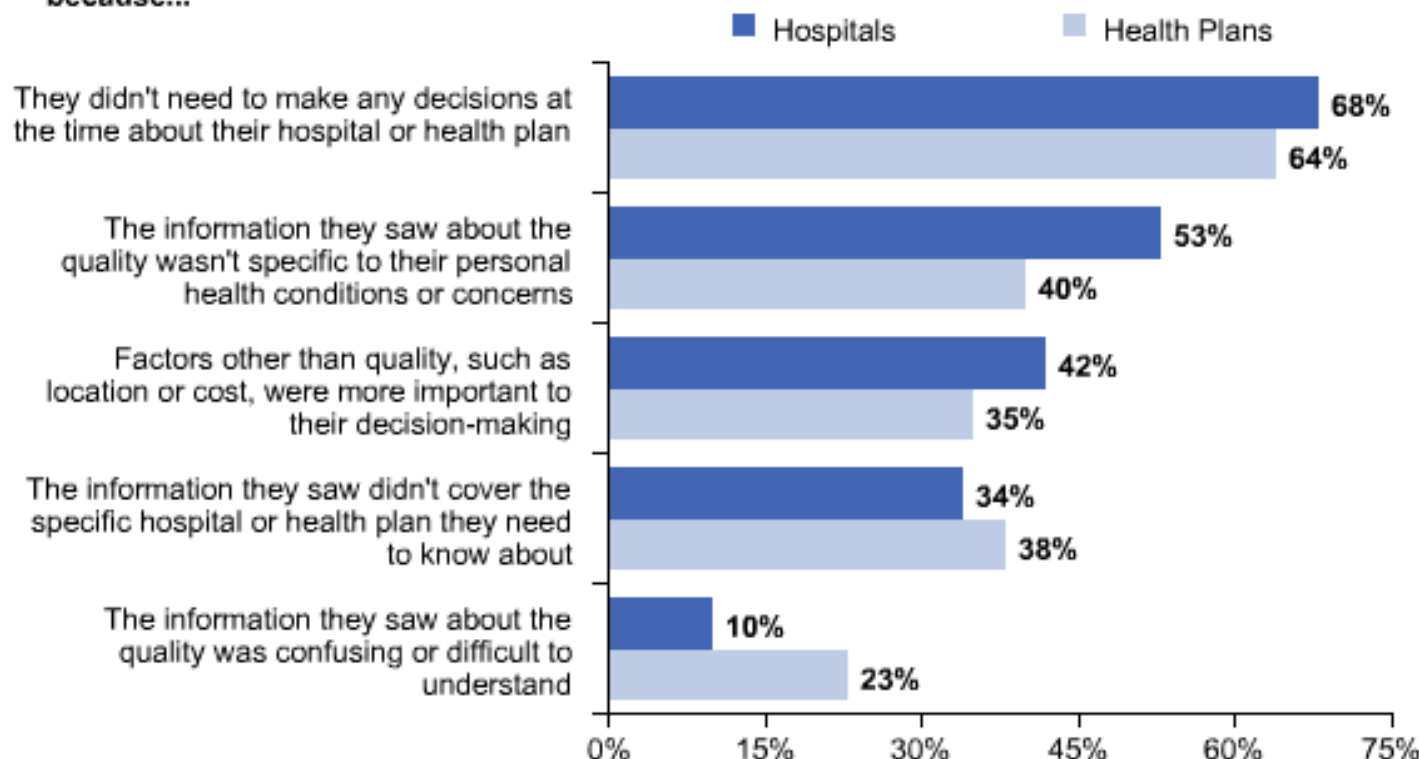


“Consumer segmentation in the health-care industry is rudimentary at best”

Health Care's Retail Strategy, Strategy + Business, Spring 2007

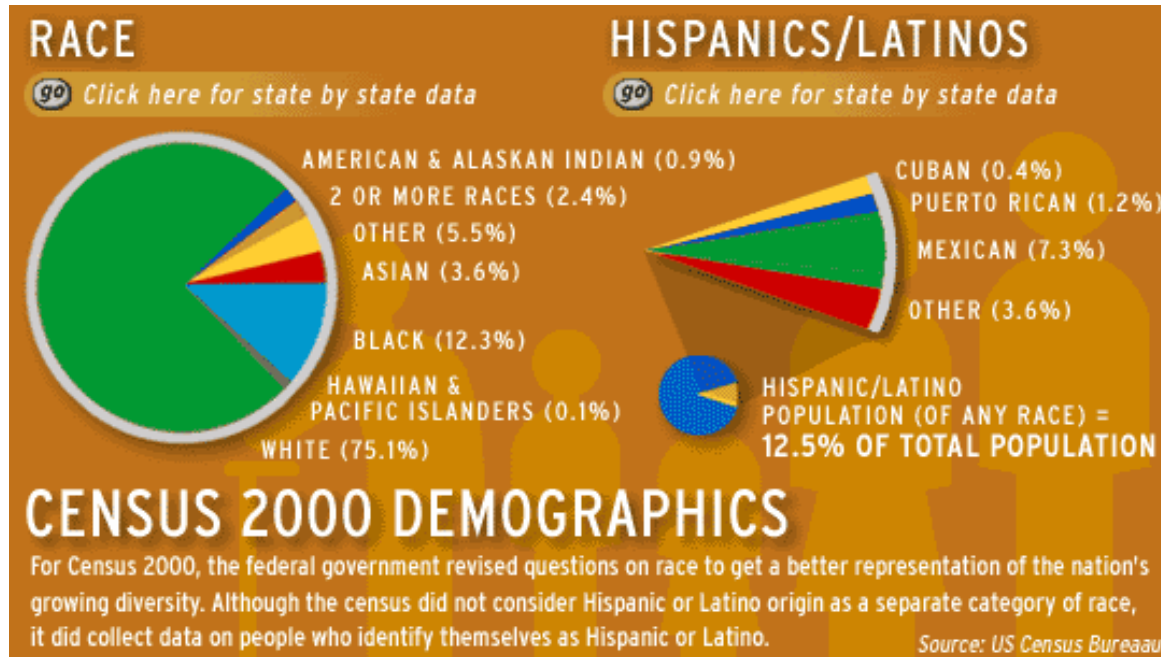
Information Isn't Timely, Personal, or Clear

Among those who saw quality information but did not use it, the percent who say this was because...



Source: Kaiser Family Foundation/Agency for Healthcare Research and Quality/ Harvard School of Public Health, *National Survey on Consumers' Experiences with Patient Safety and Quality Information*, November 2004, Chart 11 (conducted July 7-September 5, 2004) at <http://www.kff.org/kaiserpolls/7209.cfm>.

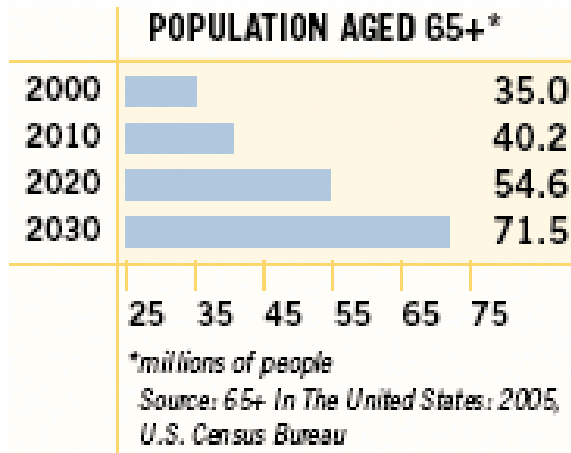
The Patient Base is Becoming More Complex



Example:

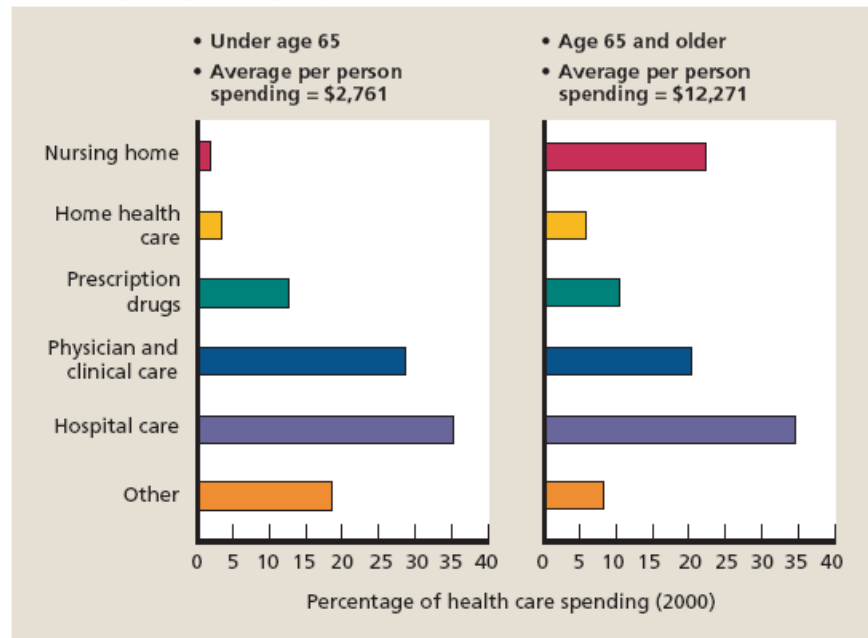
- Hispanic households are 3.5x more likely to respond to a direct mail solicitation **BUT**
- 60% of the direct mail sent to homes is in English and
- 52% of the respondents speak only Spanish in their homes.

Having a Age-Oriented Segmentation Approach to Messaging Will Be Key



The Elderly Spend Much More on Health Care, and the Services They Buy Are Different

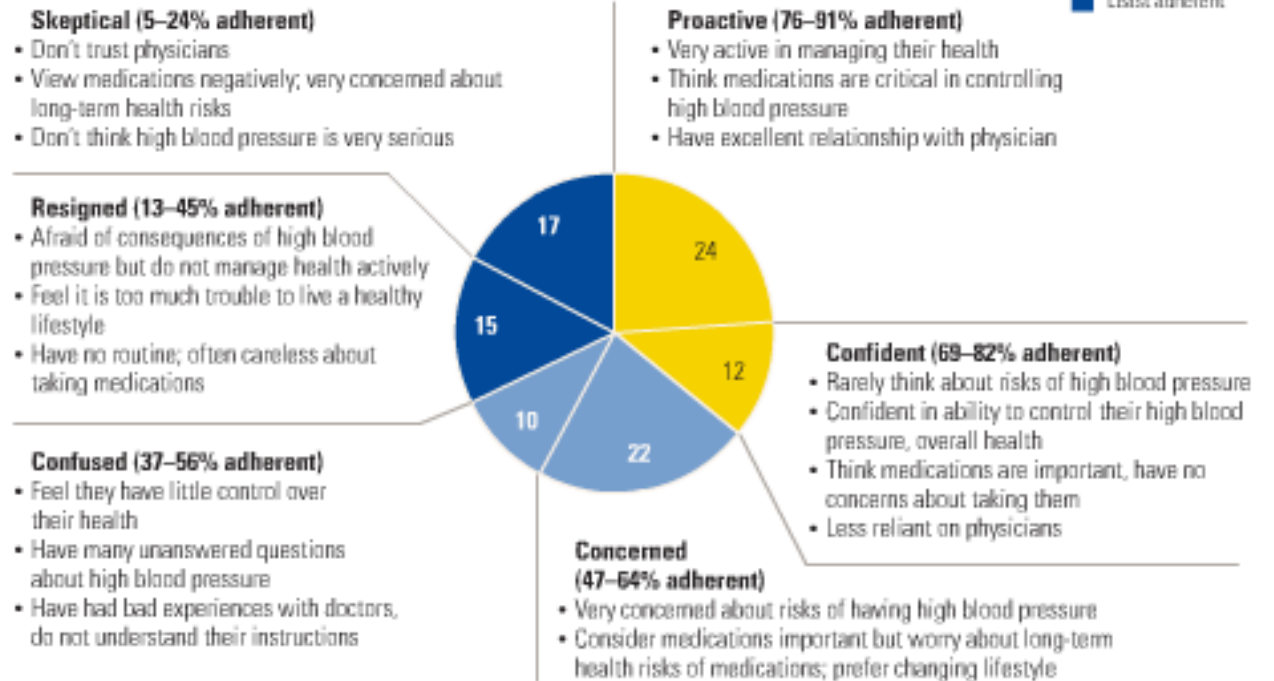
Source: Meara, White, and Cutler, 2004, Exhibit 4.



Segmentation is Critical

Characteristics of hypertension patients and their adherence to medication regimens, by segment, ¹ % of total

100% = 810 patients



Each group would require a different approach to get them to be compliant with their medications.

¹ Hypertension = high blood pressure; adherence = practice of taking medications as prescribed.

Source: 2005 McKinsey survey of 810 hypertension patients

http://www.mckinseyquarterly.com/article_page.aspx?ar=1872&L2=12&L3=62&srid=6&gp=1

A Successful Shift in the Healthcare Market Means Breaking the “Glass Ceiling”

“Employers are realizing that a good health care strategy includes health benefits and programs that incentivize employees to manage their own health”

Larry Boress, chief executive of the Midwest Business Group on Health

Emerging Healthcare

- Employee pays expenses directly
- Employer / government contribution with safety net
- Unlimited options (location, treatment, timing)
- Price and quality information available

Effective Communications

Traditional Healthcare

- Employee pays copay
- Employer / government subsidized
- Limited choice
- Limited transparency around price and quality

“Consumerism combined with health advocacy will be the dominant trend.”

David Cordani, President of CIGNA HealthCare Strategy + Business interview on 3/27/07

“There is tremendous potential for those players who empower consumers in this arrangement, with information, tools, and services that help them take control of their health care immediately and in the future.”

From “Health Care's Retail Solution” by David Knott, Gary Ahlquist, and Rick Edmunds in Strategy + Business Spring 2007